

# FinSight - Weekly Risk Report

Generated: 10 June 2026 | Lending Club Portfolio

| Total Loans | Default Rate | Exposure (\$M) | Highest Risk |
|-------------|--------------|----------------|--------------|
| 1,328,284   | 21.41%       | \$4442.22M     | Grade G      |

## Portfolio Quality by Grade

| Grade | Loans   | Default Rate % | Avg Rate % | Exposure \$M |
|-------|---------|----------------|------------|--------------|
| A     | 227,657 | 6.63%          | 7.13%      | \$208.96M    |
| B     | 385,270 | 14.52%         | 10.69%     | \$765.34M    |
| C     | 378,206 | 24.08%         | 14.02%     | \$1353.69M   |
| D     | 200,964 | 32.16%         | 17.72%     | \$1037.34M   |
| E     | 94,336  | 40.02%         | 21.13%     | \$683.73M    |
| F     | 32,450  | 46.46%         | 24.91%     | \$295.1M     |
| G     | 9,401   | 51.16%         | 27.57%     | \$98.06M     |

## AI-Generated Executive Summary

### EXECUTIVE RISK SUMMARY - June 2026

#### Portfolio Overview:

The FinSight portfolio comprises 1,328,284 resolved loans with a blended default rate of 21.41%. Total identified default exposure across all grade tiers reaches \$4442.22M. Grade G carries the highest default rate, representing the most concentrated risk in the book.

#### Key Risk Segments:

The highest-risk loan purpose is small\_business with a 31.5% default rate, nearly double the portfolio average. High-DTI borrowers (>30% DTI) default at 31.2%, representing 126,976 accounts where debt servicing capacity is structurally stretched. The 2017 vintage cohort shows the highest default rate at 26.8%, indicating loosened underwriting standards during peak growth years.

#### Recommendation:

Implement tightened origination thresholds for small business and high-DTI applicants. Cap new originations in Grade D-G tiers above 30% DTI until default trends stabilise. Prioritise vintage-aware risk monitoring for 2016-2018 cohorts which show sustained elevated default rates of 25-27%.

Note: This report is generated automatically from SQL analytics outputs. AI narrative generation ready - configure API key in scripts/auto\_report.py.